

LVS pitch deck

PITCH — LVS — VERDICT

ADJUDICATED 2026-08-11 — ADVANCE AT REDUCED SIZE: a gated starter of ~0.4% of the book (half our normal position) at \$44.50 or better, because the bear's biggest number was arithmetically wrong and the surviving objections are about size and timing, not about whether the business is broken.

What we believe

Las Vegas Sands runs casino-resorts in two places: Macao (through its 74.8%-owned listed subsidiary) and Singapore (Marina Bay Sands, wholly owned). The stock is \$44.02 — 0.9% above its 52-week low of \$43.60 and 37% below its 52-week high of \$69.69. It has made a new 52-week low roughly every month for a year.

Four things we think are true:

- 1. The stock's recent fall was driven by a story that turns out to be mostly wrong.** The market read Q2 as "Singapore is collapsing" — Marina Bay Sands earnings looked down 14% after adjusting for luck at the tables. That number is an arithmetic error. Casino results swing on "hold" (the share of money wagered that the house keeps), and analysts strip it out to see the underlying business. Whoever built the 14% figure *added* a favorable luck adjustment where they should have subtracted it, and used the wrong prior-year figure too. Corrected, Marina Bay Sands was down about 1.4% to 5.2%, not 14.4%. J.P. Morgan independently estimated "down about 5%." Both of our own benches initially inherited the error before one of them caught it.
- 2. Macao's June–July air pocket was largely a transient event, and August confirmed it.** August Macau gaming revenue printed MOP21.9bn — down 1.2% against a very strong August 2025 (which was itself up 12.2%), but **up 8.1% month-over-month** off the trough. On a two-year stack that is +10.9%, roughly 5.3% a year straight through the weak patch. Year-to-date the market is +3.7%.
- 3. On corrected numbers the stock is cheap, not extreme.** Correcting the valuation for the 25.2% of the Macao subsidiary we don't own (which the original write-up left out of the enterprise value entirely), we get roughly 9.6–10.2× enterprise value to normalized annual EBITDA of about \$4.4B. Call it ten times cash earnings for the dominant operator in two protected, licence-limited markets.
- 4. The downside is bounded by things you can point at.** Two long-dated concessions, a buyback authorization just *raised* to \$6.0B through 2029, a \$1.20 dividend, and separate financing structures for each geography so trouble in one does not automatically cascade into the other.

We are buying a half-size starter — not a full position — because two real problems survive.

What the market believes

The market believes Macao is a structurally decelerating market and that Sands is buying its share rather than earning it.

Concretely: Morgan Stanley cut its 2026 Macau revenue forecast to MOP260.6bn (+5.3%) and cut sector EBITDA growth to about +1%, calling the reinvestment pressure “now structural.” Argus cut the stock to Hold. Stifel took its target from \$74 to \$60; Mizuho from \$67 to \$61. Q2 was a clean double miss — EPS \$0.59 against roughly \$0.76 expected, revenue \$3.15B against \$3.31B. The company itself bought back \$787M of stock in Q2 at an average of \$52.37 and is down about 16% on that purchase in a single quarter.

The market is not confused about this name. It has read the filings, cut the numbers, and sold anyway. This is a well-covered stock trading at a well-informed low. That fact caps how much of an edge we can honestly claim.

Why we might have edge

The Singapore correction is the whole edge, and it is checkable. The “Marina Bay Sands is down 14%” figure is a sign error on a hold adjustment, verifiable from the company’s own disclosure of what earnings “would have been” at normal hold (\$652M), and independently corroborated by J.P. Morgan’s separate “down about 5%” estimate. If the market has priced Singapore as a broken asset when it was flat-to-slightly-down on a transient luck swing, that is a real mispricing with a named mechanism.

Second, the enterprise value most people quote is too low, and correcting it cuts both ways. The original bull write-up said 8.8× because it counted 100% of the Macao subsidiary’s earnings but 0% of the 25.2% minority stake in the price. Correcting it gives ~10×. That is honestly worse for us — but it means anyone still working off 8.8× is wrong in the direction of over-optimism, and anyone assuming “casino at ten times is a value trap” is anchoring on the same bad number from the other side.

Third, we resolved the August print in-court on the day it landed. Our official-series layer pulled DICJ August gaming revenue during the adjudication rather than after — the first live use of that market-data layer inside a court. The court did not have to speculate about a data point that already existed.

The edge here is *arithmetic*, not information. We do not know anything the market cannot know. We checked a number the market appears to have taken on trust.

Why it might be priced in

Honestly, a lot of it probably is.

Our own forecast is more bearish than the street's, which is the wrong direction for a long. Seaport publicly predicted August *and* September would return to growth. August did not. To hold their Q3 numbers, the street now needs September up 6% (J.P. Morgan) to 11% (Seaport). Our own estimate is flat to +3%. When you are more pessimistic than consensus and still buying, you are betting the price has fallen further than your own worse numbers justify. That is a thinner claim than “we see something they don't.”

Year-to-date is running below an already-cut forecast. Macau is +3.7% through August against Morgan Stanley's full-year +5.3%. To hit that, September through December has to run +8.5% against strong prior-year comparisons. It probably won't, which makes another round of estimate cuts the base case, not the bear case.

The stock's decline is a slow grind, not a shock. Twelve months of monthly new lows is not a dislocation you can arbitrage; it is a market steadily marking down its view. Our own doctrine says a slow beta-bleed de-rating is not the same thing as a mispricing, and this looks more like the former.

The share-gain story is weaker than advertised. Macao revenue adjusted for hold grew about 7.6% against a market up roughly 1.8% — but Macao EBITDA on the same adjusted basis *fell* 9.8%, with margin down 520 basis points. On +\$140M of revenue, incremental EBITDA was -\$56M. Sands is paying more in promotions and reinvestment than the incremental revenue brings in. Share you buy at a negative margin is not a moat; it is a subsidy. And Citi's table survey shows premium-mass wagering — the highest-margin segment — down 38% year over year to a post-pandemic low, which the World Cup cannot explain.

What could go wrong

Failure narrative 1 — The margin erosion is permanent and 10× turns out to be expensive. The reinvestment war in Macao does not end; competitors match every promotion; hold-adjusted EBITDA keeps declining while revenue grows. Ten times a shrinking number is not cheap. *Tripwire: Q3 (Oct 21) Macao hold-adjusted EBITDA margin below 30%, or promotional/reinvestment spend up again year over year.* Monitorable.

Failure narrative 2 — The Adelson trust distribution becomes a supply overhang. Four independently-sellable trusts of roughly \$2.0B each were created on 2026-06-16 (13D/A). Any one of them can sell without the others. That is potentially ~\$8B of stock against a company whose own buyback is already underwater at \$52.37. *Tripwire: any Form 4 sale by a successor trust — this is a hard exit, not a trim.* Monitorable.

Failure narrative 3 — Beijing or the Macao SAR administratively tightens, and there is no warning. This is the one with **no monitorable tripwire**. Enforcement of cross-border payment rules, credit to premium-mass players, visa issuance cadence, or informal guidance to the operators can change with no public announcement, no filing, no series to watch. It shows up *only* in the monthly gaming revenue number, after the fact, by which time the stock has already moved. The unknown-unknown class is **administrative-discretion regime shift with no published leading indicator** — a sovereign policy channel that is a first-order driver of the P&L and structurally un-instrumentable

by us. We have no sensor for it and cannot build one. It is the single largest uncompensated risk in the position, and the reason the position is half size rather than full.

The reflexive and structural leg. Our own size is not the risk here. A 0.4% starter is a five-figure order in a stock that trades in the hundreds of millions of dollars a day; we are far below 1% of daily volume and cannot move the price or front-run our own flow. (Exact average daily volume was not pulled this session — flagged below.) The structural risks are elsewhere:

- **We would be buying alongside the company's own buyback, which is the marginal bid.** If Sands slows repurchases to fund the committed capital spending below, a support we did not underwrite disappears. We are implicitly long the buyback without having priced it.
- **The predicted flow runs against us.** Our own arithmetic says estimate cuts are the base case for September through December. Our doctrine is not to bid into flow we ourselves predict — and here we are, buying ahead of cuts we forecast. The gated, tranced structure is the concession to that, not a solution to it.
- **Committed capital, largely non-earning.** About \$3.78B of mandatory Macao non-gaming spending remains through 2032 (roughly 92% non-gaming, ~US\$723M of a US\$4.5B commitment spent through 2024), concurrent with the \$8B Marina Bay Sands expansion whose cost rose \$1B and whose opening slipped to January 2031. That is roughly \$11.8B of commitments against ~\$4.4B of annual EBITDA, a \$1.20 dividend and a \$6B buyback. Each geography has its own financing, which is why this sizes the position rather than killing it — but it constrains every other use of cash.
- **Doctrine interaction:** this would be a taxable-account starter in a name with an active dividend and a multi-quarter thesis clock. The tranche-2 date (Oct 21) and the exit tripwire (any trust sale) can both fire inside the short-term holding window, so any forced exit is a short-term loss with a wash-sale consideration against nothing else we hold. That is acceptable at 0.4%; it would not be at full size.

If this position loses money, the most likely reason will be that the reinvestment war in Macao proves structural rather than cyclical — Sands keeps buying revenue at a negative incremental margin, the highest-margin premium-mass segment stays at its post-pandemic low, estimates get cut two more times into year-end exactly as our own arithmetic predicts, and “ten times a declining number” re-rates to eight times a smaller one, while the Singapore correction we are right about proves too small to matter.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Marina Bay Sands hold-adjusted earnings -14.4% (the original “thesis-breaker”)	Company's own hold disclosure + two secondary sources + J.P. Morgan's independent estimate	Favorable \$37M hold was <i>added</i> instead of subtracted; company-stated hold-adjusted figure was \$652M. Prior year was also favorable (\$80M restated / \$107M as originally presented). True range: -1.4% to -5.2%	NO — refuted. Our own write-up made the exact error it warned about, and the red bench repeated it without auditing the

Claim	How checked	Found	Confirmed?
			arithmetic it called decisive.
Aug 2026 Macau revenue clears the pre-registered gate	Official DICJ series, pulled in-court; two independent trade sources	MOP21.9bn, -1.2% YoY, + 8.1% MoM , two-year stack +10.9%, YTD +3.7%	Mixed — and our benches split. Clears the adjudication’s stated bar ($\geq$ ~MOP21bn, comp-adjusted positive). Fails the <i>original brief’s</i> looser wording (“bull needs YoY positive”). The adjudication governs; the starter is live. Stated plainly because it is the load-bearing call in this deck.
Macao share gain of +7.6% into a flat market	Ratio reconstruction from Q2 release	Blue bench found the numerator was hold-adjusted while the denominator was not — the number is not computable exactly as stated. Adjudication kept it as real but reduced : +7.6% vs a market up ~1.8%	Partially. Directionally real; the precise figure is not defensible. Blue over-corrected to “un-computable”; the adjudication overruled that.
Enterprise value $\approx$ \$41.5B $\rightarrow$ 8.8 $\times$	Capital-structure check on a 74.8%-owned consolidated subsidiary	100% of the subsidiary’s earnings were in the denominator, 0% of the 25.2% minority claim in the numerator. Corrected: ~\$44.4B EV $\rightarrow$ ~9.6–10.2$\times$	NO — original valuation was too generous by more than a full turn.
Buyback capacity is shrinking (red bench)	Cash-flow series dates + the 7/22/26 8-K exhibit	Red compared Q1-2025 vs Q1-2024 operating cash flow as if current — 18 months stale. The same release <i>raised</i> the authorization to \$6.0B through 2029 (SEC 8-K ex-99.1)	NO — bench error. The trust overhang stands; “shrinking buyback” does not.
Satellite check shows no construction at the Singapore expansion site	Sentinel-2 built-up index, 2021 $\rightarrow$ 2026	Red quoted the change as +0.017 ; the actual value was -0.0174 — the sign was dropped. Parcel is already paved and built; the coordinates were flagged by the tool itself as a ~1km approximation	NO — unusable either way. Downgraded to uncheckable. Neither bench should have cited it.
The stock is 2.8% off its low at \$45.46	Broker tape in the evidence pack	\$44.015 , 0.9% off a \$43.60 low, 36.8% off the high	NO — the original brief’s price was stale. Both benches initially repeated it.
Premium-mass wagering down 38% to a post-pandemic low	Cited from Citi table survey via trade press	Directionally consistent with the margin compression we independently measured	Not independently verified — we did not read the underlying survey.
Q2 was a double miss	Reported vs consensus	EPS \$0.59 vs ~\$0.76; revenue \$3.15B vs \$3.31B	YES.

Three of the eight material errors in this court were ours, not the market's. The single largest one — the Singapore figure — was in our own write-up and survived one full bench before being caught.

PROPOSED ENTRY BANDS

Gate 1 status: CLEARED on the adjudication's stated terms (August Macau revenue MOP21.9bn $\geq$ ~MOP21bn, +8.1% sequential, two-year stack +10.9%). The starter is live.

Starter — buy now. 0.4% of the book, limit **\$44.50 or better** (last \$44.02, 52-week low \$43.60). This is half our normal position size. Rationale: the largest bear leg is refuted, the tape is at the low, and the surviving objections size the position rather than kill it.

Add — tranche 2, gated, not automatic. Take the position to no more than a full normal weight (~0.8% of book) **only if all three hold at the Q3 report on 2026-10-21:** 1. Macao rolling hold back at or above 3.0%; 2. Marina Bay Sands hold-adjusted earnings flat or better year over year; 3. Macao hold-adjusted EBITDA margin back above 30% with promotional/reinvestment spend flat or down.

If any one fails, stay at the starter. The tranche-2 sizing is a deck inference from " $\leq 0.5\times$ sleeve for the starter"; the three conditions are the courts' own.

Interim gate — 2026-10-01, September Macau revenue. Needs a **two-year stack of +10% or better** (comparison-neutral, not raw year-over-year — the prior-year months are distorted). Below that: no adds at any price, hold the starter. This gate was proposed by the bear bench and ratified by the bull bench, which is why we weight it.

Hard ceiling. No adds above **\$50**, regardless of what the data does. Above \$50 the correction we are being paid for is largely in the price.

Hard exit. Any Form 4 sale by a successor Adelson trust — full exit, not a trim. This is a supply event we cannot size or time, and we do not want to discover its magnitude while holding.

Full-size reopen. Below **\$36** (roughly $8\times$ the corrected enterprise value including the minority interest) the price pays for zero recovery. That is where the half-size discipline is released — it is a *lower* entry, not a stop.

Catalyst dates: 2026-10-01 (September Macau revenue), 2026-10-21 (Q3 earnings — vendor-estimated, not confirmed by the company), 2026-11-02 and monthly thereafter (October–December Macau revenue, which decide whether the full-year estimate cuts land), 2027-02-06 (end of the trust-sale filing watch window).

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 36.0 (deck-provisional: $\sim 8\times$ corrected EV/EBITDA including minority interest — pays for zero recovery; releases the half-size r)

- filing watch: 4 until 2027-02-28 (deck-provisional: Any successor-Adelson-trust share sale is a hard exit — four independently sellable ~\$2.0B trusts crea)
- dated pack LVS|2026-09-01: LVS court-cleared GATED starter ($\leq 0.5x$ sleeve): trigger = Aug-2026 DICJ GGR $\geq$ ~MOP21bn (comp-adjusted positive). On trigger: stage the sta
- dated pack LVS|2026-10-01: LVS: Macau official September revenue; resolves the MOP20-21bn ambiguous zone if Gate 1 was inconclusive (date confirmed=False)
- dated pack LVS|2026-10-21: LVS: Q3 earnings (vendor-estimated date, unconfirmed); Gate 2 for tranche 2 (date confirmed=False)
- dated pack LVS|2026-11-02: LVS: DICJ October Macau gaming revenue — Sep-Dec must run +8.5% to hit the already-cut MOP260.6bn full-year street number (date confirmed=Fa
- dated pack LVS|2026-12-01: LVS: DICJ November Macau gaming revenue — continuation of the estimate-cut watch (date confirmed=False)
- dated pack LVS|2027-01-01: LVS: DICJ December Macau gaming revenue — closes the full-year estimate question (date confirmed=False)
- dated pack LVS|2027-02-06: LVS: End of the successor-trust Form 4 filing-watch window (date confirmed=False)

What remains unverified

- **The minority-interest amount.** ~\$3.5–4.0B is a reasoned estimate; the subsidiary's market price was not pullable. The *direction* of the valuation correction is certain; the exact multiple (9.6 $\times$ vs 10.2 $\times$) is not. The adjudication used 9.6 $\times$, both benches computed ~10.1 $\times$; we quote the range.
- **The Q3 earnings date (2026-10-21)** is derived from a data vendor and has not been confirmed by a company announcement. Both benches flagged it. The tranche-2 gate is anchored to a date we have not verified.
- **The prior-year Singapore hold adjustment** is disclosed as \$107M in the 2025 deck and \$80M as restated in the 2026 exhibit. We used the range, which is why the corrected figure is a band (–1.4% to –5.2%) rather than a point.
- **The Citi premium-mass survey** was read through trade press, not the primary document. It is load-bearing for the margin-erosion narrative in the pre-mortem.
- **September Macau revenue** — the entire interim gate. Our estimate is flat to +3%; the street needs +6% to +11%. Neither is verified until 2026-10-01.
- **The Singapore expansion construction status.** The satellite check is unusable (approximate coordinates, already-built parcel, sign error in one bench). The January 2031 opening date and the \$1B cost increase come from company disclosure, not independent observation.
- **Average daily trading volume** was not pulled this session. The claim that our order is immaterial to the market is an order-of-magnitude judgment, not a measurement. It should be confirmed before the order goes in.

- **The evidence pack's share count and cash-flow series are stale** (diluted shares as of mid-2025; operating cash flow ending Q1-2025). We did not compute trailing figures from them, and the share count used in the valuation (662.6M) comes from the Q2 filing, not the pack.
- **The verdict label date (2026-08-11) does not match the court date (2026-09-01).** Used exactly as instructed; the underlying adjudication and every data point in it are from 2026-09-01.
- **The dashboard-close step from the original brief is still outstanding** — this research has not yet been wired through to the front end.

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